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POLICY NUMBER: **FP-FIN-046**

# LOCAL ACCOUNTING AND REPORTING

## GUIDANCE POLICY

The purpose of this policy is to provide guidance and resources to preparers of financial statements in situations (i) whereby an accounting firm or a consultant is engaged to determine the accounting treatment for a contractual arrangement, or (ii) that require an audit or review report from a third-party accounting firm, whereby the accounting firm identifies issues and errors during their procedures. This policy facilitates alignment between subsidiary financial statements and Hilton Worldwide Holdings Inc.'s ("Hilton") consolidated financial statements.

## POLICY STATEMENT

This policy establishes a mandatory process for (a) the engagement of an accounting firm or consultant in the determination of the accounting treatment for a Hilton management agreement, franchise agreement, marketing license agreement, management license agreement, multi-site development agreement or lease agreement (a “Transaction”), and (b) accounting issues and errors identified by an external accounting firm during a review or audit of financial statements.

This policy is meant to:

1. Provide assistance in determining the accounting position for a Transaction under local generally accepted accounting policies (“GAAP”) and ensure that the accounting position provided by an engaged accounting firm or consultant does not contradict the position taken by Hilton in its consolidated financial statements.
2. Provide assistance in resolving issues in order to receive an unqualified audit opinion or exception-free report.
3. Confirm that we agree with the external accounting firm’s assessment if a qualified opinion is expected to be issued by the accounting firm.
4. Centralize identified issues and errors and help remediate these issues going forward.
5. Provide consistency in financial reporting policies and practices across Hilton.

## SCOPE

Hilton is required to prepare financial statements for different legal entities within its organizational structure to fulfill various requirements, including, but not limited to local government reporting requirements, inclusion with tax returns, and inclusion in franchise disclosure documents. Financial statements are prepared by teams across the organization in many different offices and these requirements often require audit, review, or other attestation reports from third-party accounting firms.

This policy is applicable for financial statements of owned, leased, and consolidated (including non-wholly owned) legal entities when those financial statements are prepared in accordance with U.S. GAAP, International Financial Reporting Standards (“IFRS”), local GAAP, or the Uniform System of Accounts for the Lodging Industry (“USALI”) (these financial statements are referred to as “Statutory Financial Statements”). Authorization is required for (a) the engagement of an accounting firm or consultant in the determination of the accounting treatment for a Transaction that impacts Statutory Financial Statements, and (b) any Statutory Financial Statement audit or review where the external accounting firm has indicated a possibility of issuing an audit, review, or other attestation report that contains qualifications, disclaimers, or other exceptions.

## APPLICABILITY

This policy is required for (a) the engagement of an accounting firm or consultant for the determination of the accounting treatment for a Transaction that impacts Statutory Financial Reporting and (b) any Statutory Financial Statement audit or review where the external accounting firm has indicated a possibility of issuing an audit, review, or other attestation report that contains qualifications, disclaimers, or other exceptions.

## EXCLUSIONS/ EXCEPTIONS

This policy does not apply to financial statements of franchised hotels or legal entities that Hilton is not affiliated with via ownership or management.

## AUTHORIZATIONS

### **Required Authorization with Technical Accounting (“TA”)**

#### ***a. Engagement of an Accounting Firm or Consultant***

If there is a Transaction that will impact Statutory Financial Statements and you are planning to engage an accounting firm or consultant to determine the accounting treatment for the Transaction, prior to engaging them, email the TA team inbox at [Technical\\_Accounting@hilton.com](mailto:Technical_Accounting@hilton.com) and provide the following information:

1. The name of the entity for which the Statutory Financial Statements are being prepared.
2. The Transaction you plan to engage an accounting firm or consultant to assist with (i.e., provide a copy of the legal agreement(s) that is (are) being reviewed).

3. The timeline required (i.e., what is the period covered under the Statutory Financial Statements and when do they need to be completed or filed).

The TA team will review this information and provide any U.S. GAAP technical accounting memos or positions that have been written by the TA team for Hilton's consolidated financial statements related to the Transaction. If a technical accounting memo or position has not been formulated, then no authorization is required.

If a technical accounting memo or position has been formulated, the TA team will share the memo or position with you which shall then be shared with the engaged accounting firm or consultant. The engaged accounting firm or consultant shall review the U.S. GAAP technical accounting memo or position and determine whether the same accounting treatment can be achieved for the Statutory Financial Statements. If the same accounting treatment will be applied for the Statutory Financial Statements, no authorization is required.

If the same accounting treatment cannot be achieved, a draft of the engaged accounting firm's or consultant's report shall be shared with the TA team for their review and approval. During the TA team's review, the team may ask to engage in direct dialogue with the team responsible for the preparation of the Statutory Financial Statements as well as the engaged accounting firm or consultant. Approval from TA of the engaged accounting firm's or consultant's report must be received in writing by the local management team prior to the finalization of the report.

**b. Statutory Financial Statement Audit or Review**

In the event that issues or errors are identified during the external accounting firm's audit of Statutory Financial Statements that could result in an audit, review, or other attestation report that contains qualifications, disclaimers, or other exceptions, email the TA team inbox at [Technical\\_Accounting@hilton.com](mailto:Technical_Accounting@hilton.com) prior to issuance of the audit or review report, but with as much notice prior to the deadline as possible, providing the following information:

1. A description of the entity that is under review or audit (i.e., legal entity name, purpose of the entity, business unit(s), and functional currency).
2. The requirements for the Statutory Financial Statements (i.e., why are they prepared, what report is required, what presentation format is required for the Statutory Financial Statements, what accounting principles should be applied, and who receives the Statutory Financial Statements).
3. The timeline required (i.e., what period end is required and how many days subsequent to period end must the Statutory Financial Statements and accounting firm's report be finalized).
4. The name of the accounting firm.
5. A copy of the draft Statutory Financial Statements.
6. A description of the issue or error identified and any supporting documentation to assist in understanding the issue or error.
7. Any supporting correspondence and conclusions, if available, from the external accounting firm.

The TA team will review this information and provide any feedback or considerations and may ask to engage in direct dialogue with the team responsible for the preparation of the Statutory Financial Statements as well as the audit firm to ensure alignment on the outcome of the report. Approval from TA of any reports with any qualifications, disclaimers, or exceptions must be received in writing by local the management team prior to issuance of the report.

ROLES AND RESPONSIBILITIES

| ENTITY/PERSONNEL                                                                     | RESPONSIBILITIES                                                                                                                                                                       |
|--------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <a href="mailto:Technical_Accounting@hilton.com">Technical_Accounting@hilton.com</a> | The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed email. |